



Qualification Programme Examination Panelist's Report

Module 7 – Financial Management (December 2023 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Multiple Choice Questions

General Comments

This was the sixth cohort to take the QP Module 7 Examination. This section comprised ten multiple choice questions that tested basic knowledge of both financial management and managerial accounting fields.

In general, candidates' performance in Section A was satisfactory. Most candidates identified the correct answers for more than half of the questions.

Specific Comments

Most candidates were unable to master the key concept of the Efficiency Market Hypothesis ("EMH"), with less than 30% of the candidates providing the correct answer for Question 9. The majority of candidates did not demonstrate awareness of the fact that security prices in all three forms of market efficiency reflect all past price and volume trading information.

Candidate performance on Question 2 was significantly lower than expected. Less than 30% of the candidates correctly identified that bonds with a low coupon rate and long term to maturity are more sensitive to market interest rate.

Performance on Question 10 was unsatisfactory, with less than two-fifths of the candidates having identified the correct answers. Candidates did not demonstrate awareness of the relationships between face value, coupon rate, current yield, and yield to maturity, which are fundamental concepts in bond investing.



(II) Section B – Written Questions

General Comments

The four case questions in Section B sought to incorporate fundamental knowledge of finance and managerial accounting. The overall performance of the candidates in this section was quite satisfactory.

Performance on Question 1, which covered typical questions on weighted average Cost of Capital ("WACC") and EMH, was satisfactory.

Candidates' performance was also satisfactory on Question 2, with the questions mainly covering topics related to project appraisal and Corporate Social Responsibility ("CSR").

Question 3 was the worst attempted question in Section B. Few candidates received high marks in part (b) and part (c), which covered venture capitalists.

Candidates' performance was also unsatisfactory on Question 4, with the questions mainly covering topics on ratio analysis and working capital management.

Candidates appear to have managed their time well during the examination as most candidates were able to answer all parts of the four questions in Section B.



Specific Comments

Question 1(a) – 5 Marks

This question required candidates to calculate the cost of various kinds of capital. Close to half of the candidates addressed the questions accurately and provided correct answers.

Question 1(b) – 4 Marks

This question required candidates to calculate the WACC of a company. About 60% of the candidates received full marks in this question. However, some students demonstrated difficulty with calculating the market value of common stock and preference shares.

Question 1(c) – 7 Marks

This question required candidates to explain the three forms of market efficiency for EMH. Most candidates correctly named the three forms, but few explained these forms in sufficient detail.

Question 1(d)(i) – 2 Marks

This question required candidates to analyse the change in share price if the market is semi-strong for private information not yet disclosed to the public. More than half of the candidates correctly explained that the price would remain unchanged.

Question 1(d)(ii) – 2 Marks

This question required candidates to analyse the change in share price if the market is semi-strong for private information that has just been disclosed to the public. More than half of the candidates correctly explained that the price would likely go up.

Question 2(a) – 7 Marks

This question required candidates to calculate the NPVs for the two proposals in the questions and to choose between them. More than one-third of the candidates received full marks for this question.

Question 2(b) – 7 Marks

This question required candidates to calculate the accounting rate of return ("ARR") of a proposal. Candidates appear to not have been familiar with the calculation of the ARR of a project. Most candidates did not compute the correct ARR in this question.



Question 2(c) – 6 Marks

This question required candidates to explain the non-financial considerations regarding why a company would like to launch a non-profit making scheme. Most candidates did not explain the non-financial considerations required in this question.

Question 3(a)(i) – 4 Marks

This question required candidates to use the dividend valuation model to determine the stock value and then calculate the number of shares and percentage of ownership acquired by a venture capitalist. Most candidates did not demonstrate adequate knowledge of how to apply the dividend valuation model correctly when calculating stock value.

Question 3(a)(ii) – 4 Marks

This question required candidates to use the price/earnings ratio method to determine the stock value and then calculate the number of shares and percentage of ownership acquired by Vivianite. Candidate performance on this question was highly unsatisfactory.

Question 3(b) – 6 Marks

This question required candidates to explain the operation of a venture capitalist. Candidates' performance was unsatisfactory. Although most candidates correctly identified key features of a venture capitalist, their understanding of the probable tactics employed by one was relatively weak.

Question 3(c) – 6 Marks

This question required candidates to discuss the advantages and disadvantages of obtaining funding from a venture capitalist instead of through a bank loan. Most candidates appear to have understood that funding from a venture capitalist is generally interest-free. However, only a few candidates provided comprehensive answers for this question.

Question 4(a)(i) – 6 Marks

This question required candidates to calculate working capital management ratios. Performance of the candidates was satisfactory, though only one-fourth of the candidates correctly calculated all three ratios and received full marks.



Question 4(a)(ii) – 2 Marks

This question required candidates to calculate the cash conversion cycle based on the working capital management ratios calculated in 4(a)(i). Despite this being a common type of question in the examination, more than half of the candidates failed to obtain any marks for this question.

Question 4(a)(iii) – 6 Marks

This question required candidates to comment on the working capital management efficiency of a company. Performance was satisfactory, with most candidates providing adequate methods for improving working capital management, such as tightening credit control.

Question 4(c) – 6 Marks

This question required candidates to explain the concept of working capital management. This was one of the least successfully attempted questions in this section, with over 40% of the candidates scoring zero marks on this question. Some candidates appear to have misunderstood the concept of net working capital, such as by incorrectly believing it is used to monitor the profitability of a company.

(III) Conclusion and Recommendation

Candidates are advised to prepare well for questions on stock valuation using different methods such as the dividend valuation model and P/E multiple methods. Candidates are expected to master most concepts of sources of finance and capital structure, such as the cost of different kinds of capital and capital asset pricing model ("CAPM"). They should also familiarise themselves with methods of determining the market values of equity and debt capital for the calculation of WACC.

Candidates are also strongly advised to familiarise themselves with the calculation of the accounting rate of return, which has been tested repeatedly in previous examinations. Candidates should continue practising the calculation of ARR on projects with different life spans.

On the topic of working capital management, candidates are expected to understand how to calculate the cash conversion cycle. Additionally, they should familiarise themselves with the definition of net working capital and its implications for a business.

Candidates should spend sufficient time studying in order to gain in-depth knowledge of the topics in the syllabus. For instance, candidates are not expected to simply name the three forms of EMH, but they should be able to explain the three forms in detail and understand their implications.